

■ For CISOs & CEOs in regulated industries

The impossible mandate.

Your people already gave AI everything. The board wants more, faster. The regulators want answers. The collision has a name — **the trust gap** — and it's widening every quarter.

■ banking

■ legal

■ insurance

■ 01

The leak

Your IP is already inside models you don't control.

■ 02

The mandate

The board's deadline for AI is measured in quarters.

■ 03

The squeeze

Regulators are converging on exactly this behavior.



Jason Melo

CEO, PrivacyPal

01 • The leak

While you read this, your IP is leaving.

Not malice — your best people hitting the deadlines you set. 57% of employees hide their AI use from their employer.¹ Most GenAI access runs through personal accounts you can't see, log or audit.² And the sensitive share of what they feed it has nearly quadrupled in three years.³

● PASTED INTO A PUBLIC CHATBOT • TODAY • SOMEWHERE IN YOUR COMPANY

"Summarize the attached **draft merger agreement** — client is **Meridian Trust**, deal size **\$84M** — and rewrite **claims model v2 source** to fix the **underwriting exception** for policy **#PL-49-2201**."

77%

of employees paste company data into GenAI — 82% of it through unmanaged personal accounts²

1 in 5

breaches now involve shadow AI — adding \$670K to the average cost of each one⁴

97%

of organizations breached through AI lacked basic AI access controls⁴

■ legal

82.8% of legal documents fed to AI tools land in personal, non-corporate accounts.³

■ banking & insurance

Finance & insurance generate more AI traffic than any industry — and block 59.9% of it.⁵

■ the trend

Sensitive share of AI-bound data: 10.7% → 27.4% → 39.7% in three years.³

AI stopped being a choice. It's an assignment.

Your instinct says lock it down. The pressure runs the other way: investor pressure to show AI value jumped from 68% to 90% of leaders in a single quarter.⁶ Half of CEOs admit the fear of falling behind drives them to invest before they understand the value.⁷ And the window to deliver is closing.

61%

of CEOs admit pushing GenAI faster than some of their own people are comfortable with⁷

85%

of companies believe they have under 18 months to demonstrate AI's impact⁸

13%

are fully ready to capture AI's potential — even as 98% report rising urgency⁸

The gap is the story.

CEOs already know it: **75% say trusted AI is impossible without effective governance. Only 39% have it.**⁷ The mandate ships anyway — and security is told to catch up in flight.

Expect AI to reshape cybersecurity within 12 months

66%

Have a process to vet AI security before deployment

37%

A year later vetting reached 64% — one in three still deploys blind.⁹

03 · The squeeze

Regulators are writing your deadline.

Fines of up to €35M or 7% of global turnover under the EU AI Act.¹⁰ 1,208 state AI bills introduced in the US in 2025 — double the year before.¹¹ And your own regulator has already ruled: existing law applies to AI. No carve-outs.

Banking

NYDFS · FINRA · SEC · EU AI Act

NYDFS examines AI risk under its **existing** cyber regulation.¹² FINRA holds GenAI to every supervision and disclosure rule.¹³ Consumer credit scoring is named high-risk in the EU AI Act itself.¹⁰

Legal

ABA · the courts

ABA Formal Opinion 512 makes GenAI confidentiality an **ethics obligation** — client data entered into self-learning tools may require informed consent.¹⁴ Courts have logged **1,598 cases** of AI-fabricated citations — 8× more than a year earlier.¹⁵

Insurance

NAIC · 25 jurisdictions

25 jurisdictions have adopted the NAIC's AI bulletin: written AI programs, governance and vendor oversight expected of carriers.¹⁶ Life & health pricing is high-risk under the EU AI Act.¹⁰

The trust gap is the distance between the AI you must deploy and the AI you can **defend**.

The leak is real. The mandate is real. The deadline is real. The firms that win this decade will be the ones that can prove — prompt by prompt — that the AI they adopted never saw what it shouldn't. That isn't a policy question. It's an architecture question.

the answer must

- ✓ keep sensitive data from ever leaving your control
- ✓ work with every model, copilot and agent your teams use
- ✓ prove it — per prompt — to the board and the auditor

Sources · 10. EU AI Act, Art. 99 & Annex III (2024) · 11. MultiState AI Legislation Tracker (2025) · 12. NYDFS Industry Letter on AI Risks (Oct 2024) · 13. FINRA Reg. Notice 24-09 (2024) · 14. ABA Formal Opinion 512 (2024) · 15. AI Hallucination Cases database, Charlotin (2026) · 16. NAIC Model Bulletin adoption map (2026)



Jason Melo

CEO, PrivacyPal · privacypal.ai